WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BURUNDI

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bujumbura	Economic capital, largest city and commercial hub on Lake Tanganyika; base for banking, trade and most foreign businesses	Trade, financial services, logistics, light manufacturing
Gitega	Political capital since January 2019 and seat of central government decision-making	Administration, construction, services
Musongati (east)	Planned terminus and freight terminal of the Uvinza–Musongati standard gauge railway, designed to move minerals and goods to Tanzania	Mining including nickel prospects, rail logistics, industrial services
Uvinza–Musongati railway corridor	$2.15 billion, 282 km electrified line linking Burundi to Tanzania's SGR network and the port of Dar es Salaam; ground broken in August 2025	Rail construction, freight, minerals export
Burunga Province (Jiji–Mulembwe)	Site of the 49.5 MW Jiji and Mulembwe hydropower plants, completed in June 2026 and serving around 1,700 industrial facilities	Energy, agro-industry, manufacturing
Coffee and tea highlands	Source of Burundi's specialty coffee, 23% of goods exports in 2025, with export value roughly doubling that year	Coffee washing and processing, tea, agro-exports
Gold-producing areas	Gold output tripled to about 1.2 tonnes in 2025 and now forms 41% of goods exports, with formalisation and mechanisation under way	Mining services, refining, equipment

INVESTOR ENTRY ROUTES

- Burundi Development Agency (ADB), the official single point of contact for investors, running a one-stop shop for company registration, licences and permits, and mediating disputes with state bodies
- Investment Code (Law No. 1/19 of 17 June 2021) giving equal treatment to foreign and domestic investors, protection against expropriation and, for certified projects of at least $500,000 (half that outside Bujumbura), reduced profit tax of 5–25% for five years and VAT and customs exemptions on equipment
- International dispute resolution through ICSID, the New York Convention (since 2014) and the CEBAC arbitration and mediation centre

- Special economic zones: a legal framework is in place and a pilot SEZ bill passed the National Assembly in January 2025, positioning early investors for a new incentive regime
- Banque de la République du Burundi (BRB) manages the Burundian franc; the law permits free transfer of after-tax profits, although foreign currency is currently allocated by priority sector while a roadmap toward a unified exchange rate is prepared
- Mining entry under the 2023 Mining Code, with a state stake of 16% in operating companies, alongside gold-sector formalisation and progress toward EITI membership
- Energy and infrastructure participation through co-financing with the African Development Bank, EIB, EU and World Bank, including Mission 300 electrification programmes

MARKET-ENTRY OBSERVATION

Burundi in October 2026 is moving from stabilisation toward recovery, with clear progress on its macroeconomic fundamentals. Inflation has fallen from a peak of 45.5% in April 2025 to 8.4% in August 2026, close to the central bank's 8% target, after the government stopped central bank financing of the deficit in mid-2025 and adopted a Macroeconomic Stabilisation Plan in January 2026. The IMF estimates growth at 4.2% in 2025 and 3.9% in 2026, averaging 4.3% over 2027–31, while public debt fell to about 42% of GDP at end-2025 from 53% a year earlier and the fiscal deficit is narrowing from 5.5% to 3.4% of GDP. Exports are gaining momentum: goods export volumes rose 45.3%, gold output tripled to 1.2 tonnes and coffee earnings roughly doubled in 2025. FDI remains modest at $31.2 million in 2025, but the IMF projects it to double to $63.6 million in 2026 as electrification advances, supported by the completion of the 49.5 MW Jiji–Mulembwe hydropower scheme, which lifts national capacity from about 60 MW to more than 109 MW, and by the $2.15 billion Uvinza–Musongati railway to Tanzania.

Burundi's main structural challenge is foreign-exchange availability. The official rate of about 3,002 francs to the dollar coexists with a parallel-market premium of around 100%, and gross reserves stood at $213.9 million, or 1.6 months of imports, at end-2025; in practice, currency is allocated by priority sector and some firms have faced delays in repatriating profits. The direction of travel is positive: the IMF judges this an opportune moment to phase out the dual rate under a clearly sequenced roadmap, reserves are projected to rise to $296.8 million in 2026 and toward $500 million over the medium term, and rising gold and coffee receipts are adding to export earnings. Investors with hard-currency revenues, export-oriented models or development-finance backing are best placed today, and early entrants stand to benefit most as exchange-rate unification proceeds and a stronger macroeconomic track record opens the way for deeper engagement with international lenders.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Foreign-exchange access and dual exchange rate	A parallel-market premium of about 100% and allocation of currency by priority sector can delay profit repatriation and imported inputs	Favour export-earning or hard-currency structures, agree FX arrangements early with the BRB and ADB, and position for gains as the IMF-recommended unification roadmap is implemented
Low reserve buffers	Reserves covered 1.6 months of imports at end-2025, limiting room to absorb external shocks	Reserves are projected to reach 2.0 months in 2026 on stronger gold and coffee exports; development-finance co-investment and MIGA cover add protection
Price stability	Inflation fell to 8.4% in August 2026 from 45.5% in April 2025, although the IMF expects some pick-up later in 2026 as fuel prices rise	Build price-adjustment clauses into local contracts; the end of central bank deficit financing and tighter monetary policy support continued disinflation
Electricity access and supply	Fewer than 15% of Burundians have electricity access, constraining industry outside main centres	Generation has risen sixfold since 2020 and the target is 70% grid access by 2028, creating openings in generation, grids, off-grid solar and captive power
Regional security and border relations	Burundi has deployed troops to support the DRC in South Kivu amid the eastern DRC conflict, and the border with Rwanda remains closed	Route trade through the Tanzanian Central Corridor, use political-risk insurance and monitor regional diplomacy, which could reopen wider regional trade
Governance and sector terms	Corruption in licensing and concessions is	Use ADB facilitation, ICSID and New York

Issue	Potential Impact	Possible Mitigation
	reported, and mining terms have changed, including a higher state stake under the 2023 Mining Code	Convention protections and robust compliance; an IMF governance diagnostic and EITI accession are under way
Landlocked logistics	Distance to the sea and reliance on road links raise transport costs for imports and exports	The Uvinza–Musongati railway to Tanzania's SGR network will lower transport costs, offering early opportunities in freight, warehousing and rail-related services

INVESTOR RISK NOTE

Burundi's risk profile is that of a frontier economy that has made measurable progress on stabilisation since 2025. Inflation has fallen by more than 35 percentage points, central bank financing of the budget has ended, public debt has fallen to about 42% of GDP and export volumes are rising, all underpinned by a Macroeconomic Stabilisation Plan and continuing IMF surveillance through the 2026 Article IV consultation. The IMF still assesses debt as sustainable but at high risk of distress, and the key practical consideration for investors is foreign-exchange access: currency is rationed while the dual exchange rate persists, and the earlier IMF lending arrangement lapsed in January 2025 without the rates being unified. Regional security in eastern DRC and the closed border with Rwanda should be monitored as part of routine planning. These factors are best managed through hard-currency or export-linked business models, co-investment with development finance institutions, political-risk insurance and early engagement with the ADB and BRB, while the delivery of exchange-rate reform would be a significant positive catalyst for investment.

MARKET ACCESS

Burundi has been a member of the East African Community (EAC) since 2007, giving preferential access to its partner-state markets, and is also a member of COMESA, the Economic Community of Central African States (ECCAS) and the Economic Community of the Great Lakes Countries (CEPGL). It has been a WTO member since 1995, ratified the African Continental Free Trade Area in June 2021 and the COMESA–EAC–SADC Tripartite Free Trade Area in July 2024, and aims to complete technical integration with the East African Payment System by December 2026. Exports of $406.8 million in 2025 were led by gold (41%), coffee (23%), other minerals, beer and tea, with gold volumes to Dubai rising markedly over five years. The Central Corridor through Tanzania to the port of Dar es Salaam is the principal trade route, to be strengthened by the Uvinza–Musongati railway, with Lake Tanganyika providing additional regional links.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Évariste Ndayishimiye) and Prime Minister (Nestor Ntahontuye)	Set national economic priorities, including stabilisation, electrification and the railway link to Tanzania; the next presidential election is due in 2027	Primary reference point for Burundi's strategic direction and flagship projects
Burundi Development Agency (ADB)	Official gateway for investors: registration, permits, incentive certification and mediation with state entities	Standard first point of contact for market entry and incentive guidance
Banque de la République du Burundi (BRB)	Central bank responsible for monetary policy, foreign-exchange allocation and the planned move to a unified exchange rate	Essential counterpart on FX access, repatriation and banking-sector matters
Ministry of Finance, Budget and Economic Planning	Leads the Macroeconomic Stabilisation Plan, budget policy and relations with the IMF and development partners	Relevant for fiscal incentives, public investment and DFI co-financing
Ministry of Infrastructure	Burundi's signatory to the Uvinza–Musongati railway agreement with Tanzania Railways Corporation	Key counterpart for transport, rail and logistics opportunities

Actor	Why It Matters	Waverley Engagement Angle
REGIDESO (national water and electricity utility)	Operates the power grid that new hydropower capacity feeds into; its performance is a focus of reform	Counterpart for power purchase, grid connection and utility-partnership projects
ODECA (Burundi Coffee Office)	State body regulating the coffee sector, the country's second-largest export	Relevant for coffee processing, quality, traceability and export investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Burundi Development Agency is the principal channel for investor facilitation and for resolving issues with public bodies, while the CEBAC arbitration and mediation centre provides a local dispute-resolution forum. Development finance institutions are highly active and are the most effective co-investment partners: the African Development Bank, which is financing the Uvinza–Musongati railway, the World Bank Group, including MIGA for political-risk cover, and the European Investment Bank and European Union, whose Global Gateway programme has committed €2 billion over two years to African renewable energy. Regional platforms, including EAC investment forums and the Central Corridor Transit Transport Facilitation Agency, offer further networking and intelligence on trade and logistics.

INVESTOR PROFILE BEST SUITED

Burundi best suits patient, frontier-market investors with a long-term horizon and strong partnership networks: energy investors in hydropower, solar and grid projects co-financed by development banks; mining and minerals investors in gold formalisation, processing and nickel prospects; agribusiness investors in specialty coffee, tea and food processing with dollar-denominated export revenues; and logistics and construction firms positioned around the Tanzania railway and Lake Tanganyika links. Investors whose revenues are in hard currency, or who partner with DFIs, are best placed while exchange-rate reform is completed.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Burundi Development Agency on structure and incentives
Open dialogue with the ADB to confirm eligibility for certified-investment incentives under the 2021 Investment Code and to use its one-stop shop for registration.

STEP 2: Agree foreign-exchange arrangements before committing capital
Clarify FX access and repatriation with the BRB and your bank at the outset, favouring export-earning or hard-currency structures while unification is prepared.

STEP 3: Partner with development finance institutions
Explore co-investment with the African Development Bank, World Bank Group, EIB and EU, and political-risk cover through MIGA, particularly for energy and infrastructure projects.

STEP 4: Position around the Tanzania railway and electrification programmes
Track progress on the Uvinza–Musongati railway and the 2028 grid-access target, which are creating opportunities in logistics, power and supply chains.

STEP 5: Monitor exchange-rate reform and regional developments
Follow IMF engagement, the FX unification roadmap and regional diplomacy, which together could materially improve the investment environment and reward early entrants.